

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
height target				
Percentage reaching full height target	66%	52%	42%	46%
Percentage reaching 2× height	48%	26%	19%	24%
Percentage reaching 3× height	37%	18%	9%	13%

The bottom portion of the table shows how often price reaches the measure rule target. For the full height (as in our example above, bull markets, upward breakouts), price will reach the target 66% of the time. You can adjust the height to get different targets that may be easier or harder for price to reach.

Once you know the target, read the text associated with [Table 11.3](#) to see if the potential move is reasonable.

How do you make use of the measure rule? Imagine that you are considering purchasing the stock. Try the following tips:

Go long at the bottom. Since a broadening formation should have five touches (three on one trendline, two on the other) before it becomes valid, point A in [Figure 11.5](#) shows one likely investment location. Before placing the buy order, compute the target price using the measure rule. The target price will help you determine if the potential gain is worth the risk.

In the example shown in [Figure 11.5](#), the purchase price is about 10.38 (at A) and the target price is 14.25, a 37% move. The stop-loss should be 9.85 (15 cents below the low at A), for a potential loss of 5%, which gives a reward-to-risk ratio of 7 to 1, more than enough to risk a trade.